



4.3

SECTORAL ANALYSIS : A POWERFUL WAY TO TRADE THE MARKETS



Strategy video

This chapter talks about the importance of Sectoral Analysis and how it is a powerful tool for trading the capital markets. *We will also talk about a positional trading strategy which will help you in identifying stocks in less than 15 minutes!* Sounds interesting, right?

But first let's understand Sectoral Analysis and its significance in the capital markets.

Outperforming sectors

INTRODUCTION

A nation's economy is just like a flower. Just like a group of petals make a flower a group of sectors make an economy. Now, some of these sectors may be performing well while some not so well. As a positional trader, you always have to buy stocks from the sectors that are outperforming other sectors of the economy.

Underperforming sectors

Sectoral Analysis requires evaluating and analyzing different sectors within the market to identify market trends and trading opportunities. This type of analysis plays a vital role in the capital markets. It helps you make better trading decisions as you understand and analyze different sectors of the market.

